



A PROSPAR FIELD GUIDE

Five SIP mistakes that quietly cost **crores**.

Each one feels sensible in the moment. Each one has a price you can calculate — and we did.

- 1 Stopping in a fall** the costliest reflex in investing
- 2 Never stepping up** a frozen SIP in a growing life
- 3 Chasing winners** buying applause, twice
- 4 Starting “next year”** the most expensive word
- 5 Wrong horizon** equity money on a debt clock



SIP MISTAKE 1 OF 5

Stopping when markets **fall**.

Quit after 3 flat years

₹3.5 L → ~₹4 L

frozen where it stopped

Continued 15 years

₹19 L → ₹1.07 Cr

same funds, same dates

This is the entrance exam every SIP faces around year 3 — and the only failing answer is leaving the hall.

The fix: Automate the SIP and judge it only at your goal's horizon. Red months are when your instalment buys the most units.



SIP MISTAKE 2 OF 5

Never stepping it **up**.

Flat ₹25,000 · 15 yrs

₹1.26 Cr

while your salary kept growing

Same SIP + 10% yearly

₹2.17 Cr

₹91 L more — from increments alone

Your income compounds through your career. A SIP that never grows quietly falls behind the life it is meant to fund.

The fix: Every appraisal, raise the SIP before lifestyle absorbs the increment. 10% a year roughly matches a normal career.



SIP MISTAKE 3 OF 5

Chasing last year's winner.

Yearly #1 fund, 2008–2025

Kept changing

one +104% topper drifted mid-pack

18-year CAGRs, whole top-10

9.6–14.7%

clustered — patience beat rotation

Different market phases reward different styles — by the time a fund tops the chart, its best phase is usually behind it.

The fix: Switch on process deterioration, never on rank. Exiting a style after its bad phase means buying high twice.



SIP MISTAKE 4 OF 5

Starting “next year”.

₹10,000 · start today · 30 yrs

₹3.53 Cr

the full runway

Start 5 years later

₹1.90 Cr

– ₹1.63 Cr for ₹6 L of skipped instalments

The years you skip are the biggest ones: the earliest instalments are the ones that compound for decades.

The fix: Start with whatever survives this month’s budget. A small SIP now beats a perfect SIP after the bonus.



SIP MISTAKE 5 OF 5

Equity money on a debt clock.

Equity SIP for a 2-year need

A forced exit

corrections don't check your calendar

Matched to 7+ years

Crashes absorbed

every long window recovered — and paid

Risk is not volatility. Risk is needing the money in the middle of a fall.

The fix: Match the category to the horizon: liquid/debt under 3 years, hybrid 3–7, equity beyond 7. Then volatility is noise, not risk.